EMBER ASSET MANAGEMENT

PROPERTY DETAILS

Flats at Walton

123 Main St

75229

272 Units

1985

Ember Capital

Prop Manager

On-Site Contact

On-Site Maint

Purchase Price
$24,500,000

Capex
$3,650,000

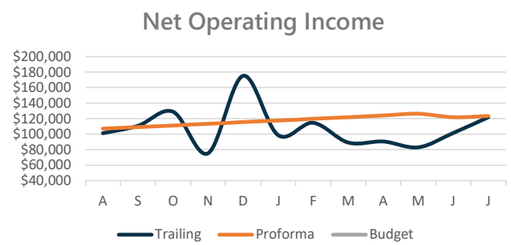
Closing Costs
$1,000,000

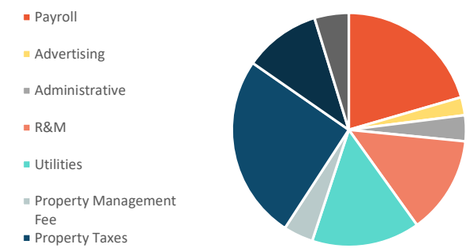
Senior Mortgage
$20,250,000

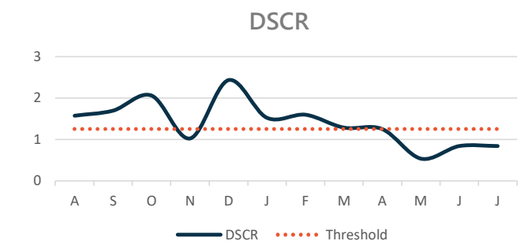
Preferred Equity
$0

Common Equity
$8,900,000

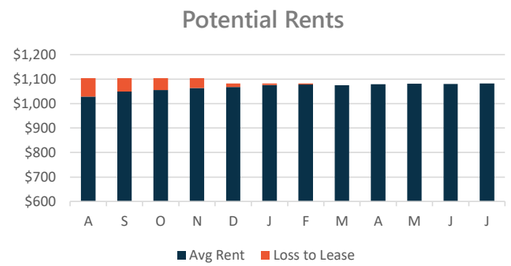
Financials

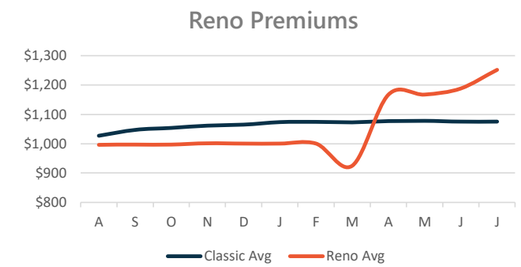






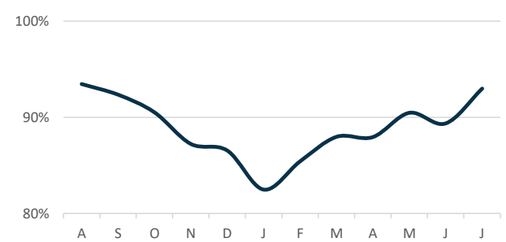
Rent

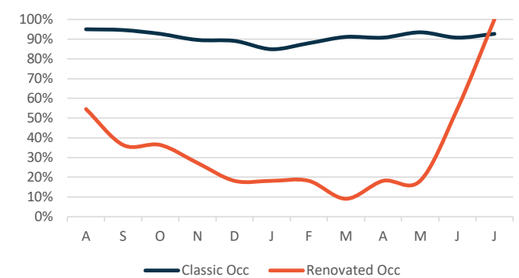


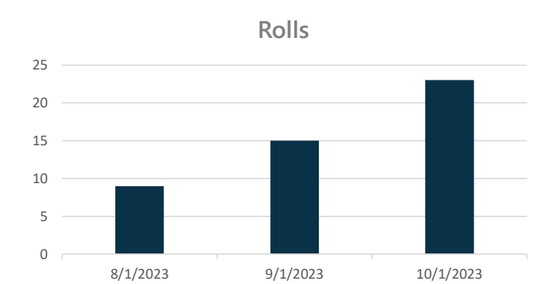


Current Month Avg Rent	$1,083
Avg. Rent 6 Mos. Prior	$1,077
% Rent Growth	0.5%

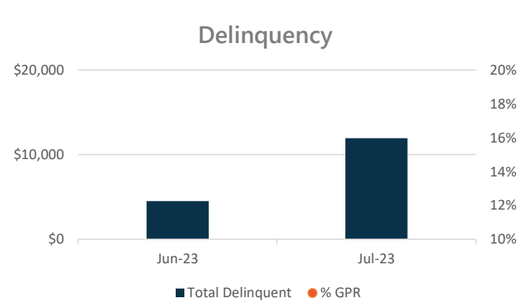
Occupancy

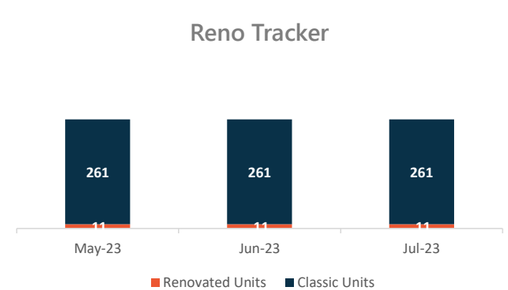


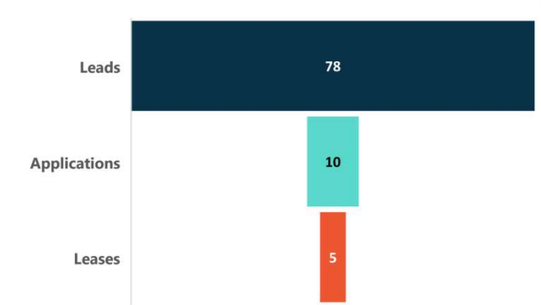




Operations







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Financials Report

T-12 NOI	T-3/T-12 NOI
$1,290,661	$1,334,130

Income Per Unit

NRI	$807
Other Income	$307
EGI	$1,114

Expenses Per Unit

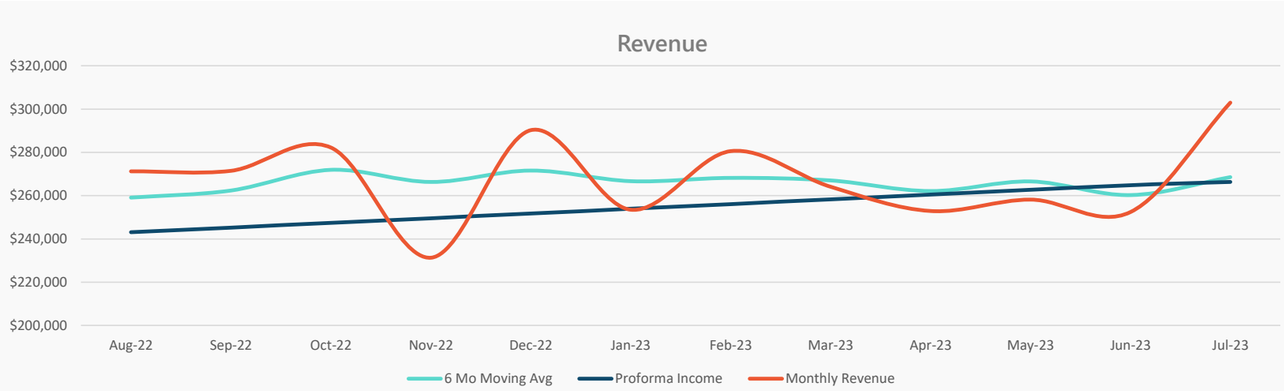
Tax/Ins	$224
Other Exp	$442
Total	$666

Operating Ratio

T-1	40.2%
T-3	37.7%
T-12	40.2%

NOI Trend Line

Expense Trend Line



12 Mo. % Growth

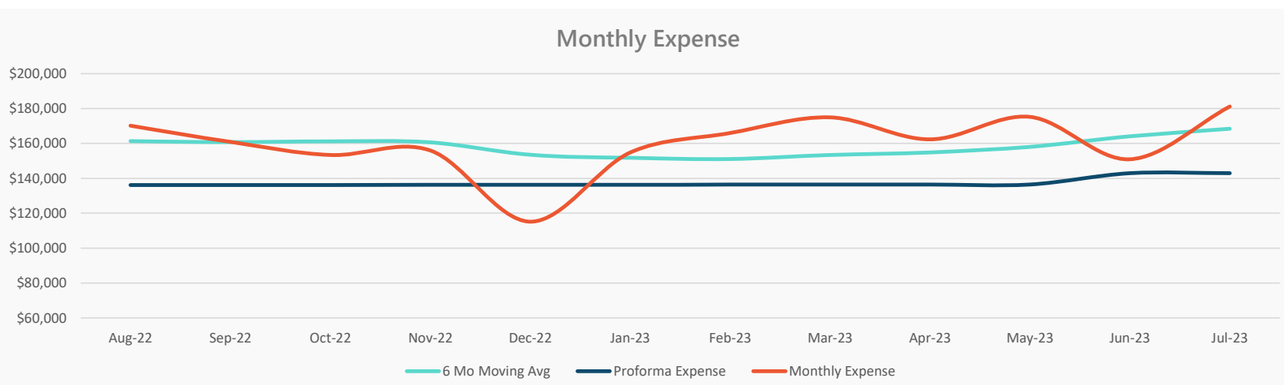
7.0%

Pro Forma Variance

	$	%
Net Rental Income	-$280,719	89%
Other Income 3	-$150,135	6%
Utility Revenue	-$41,643	85%
Vacancy	-$37,027	107%

Comments:

- Revenue is outpacing proforma despite the slow deployment of Capex projects. Classic rent growth/Loss to Lease burnoff has kept the property in line with renovated GPR so far, and if capex can be deployed soon, this can be even further capitalized on.
- High Occupancy continues to prop up the financials on the top end, further deployment of other income programs and rolling of the final classic leases to market will keep top line growth steady in the near future.



12 Mo. % Growth

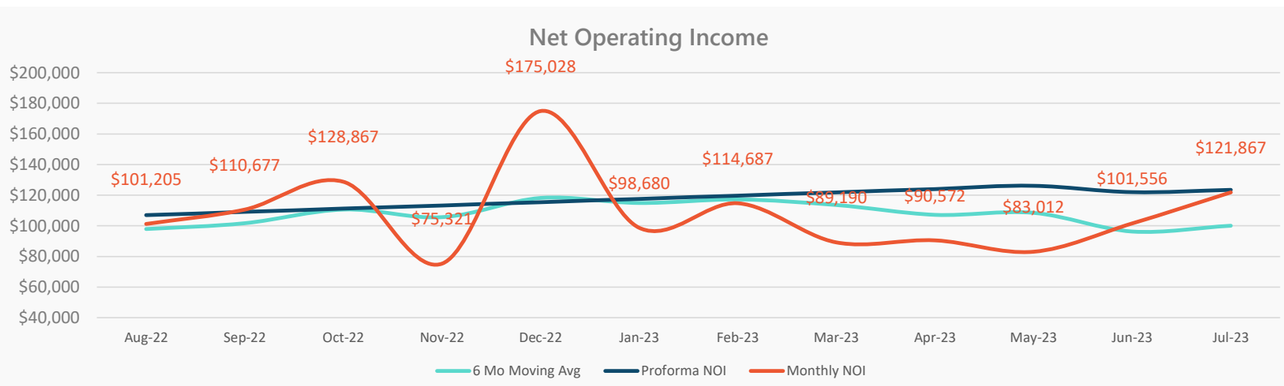
9.6%

Pro Forma Variance

	$	%
Turnover	$80,966	-
Payroll	$68,126	*121%*
Insurance	$62,331	*144%*

Comments:

- Insurance Expense has been a major variance to the original budget, with regional costs having expanded drastically since the asset was purchased.
- Overall, controllable expenses are being held in line with proforma, lessening the pressure from the insurance variance.
- Turnover likely exceding budget since less full turns/renovations have been implemented thus far.



12 Mo. % Growth

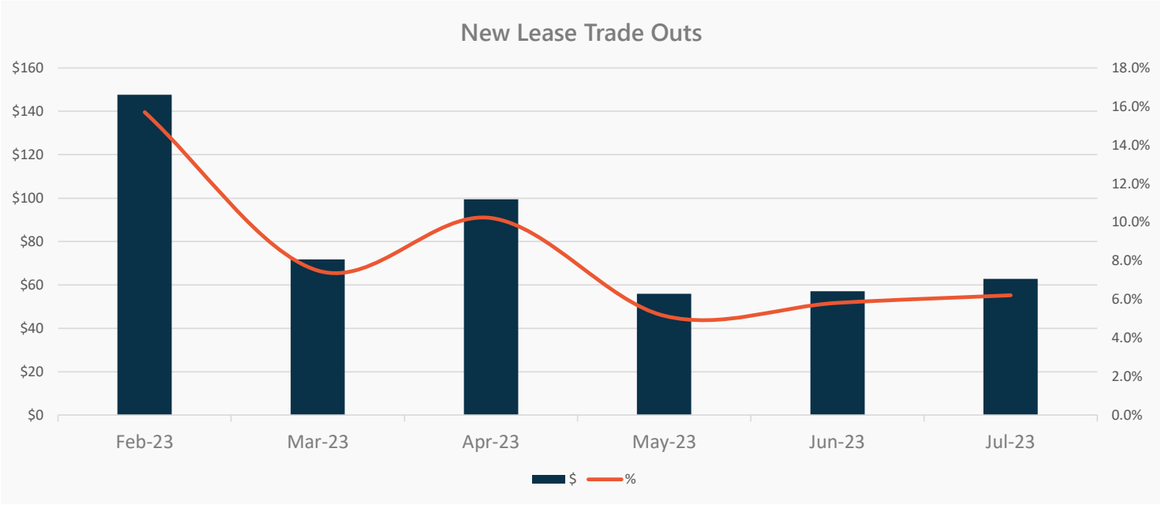
3.3%

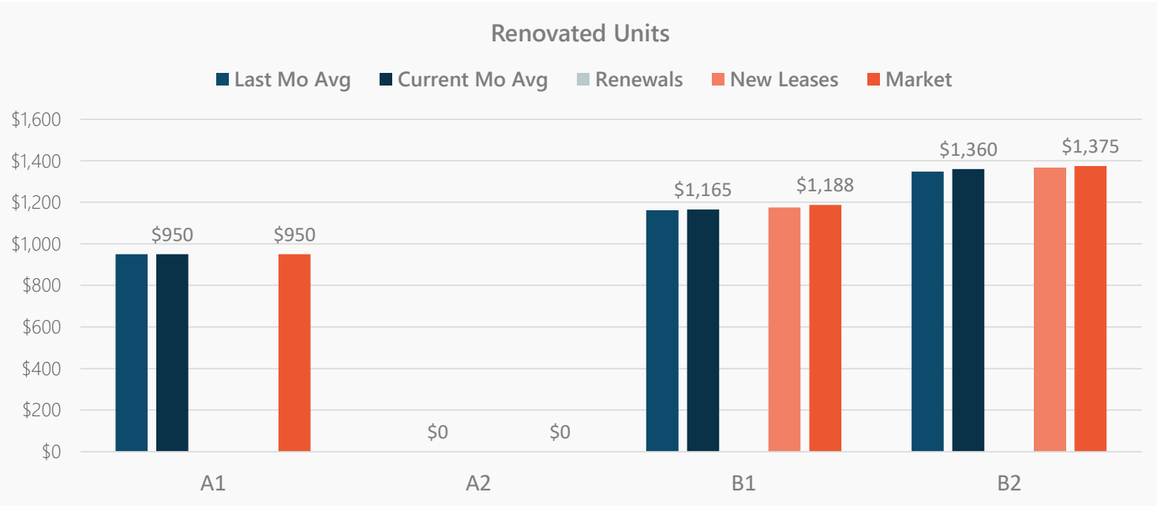
Comments:

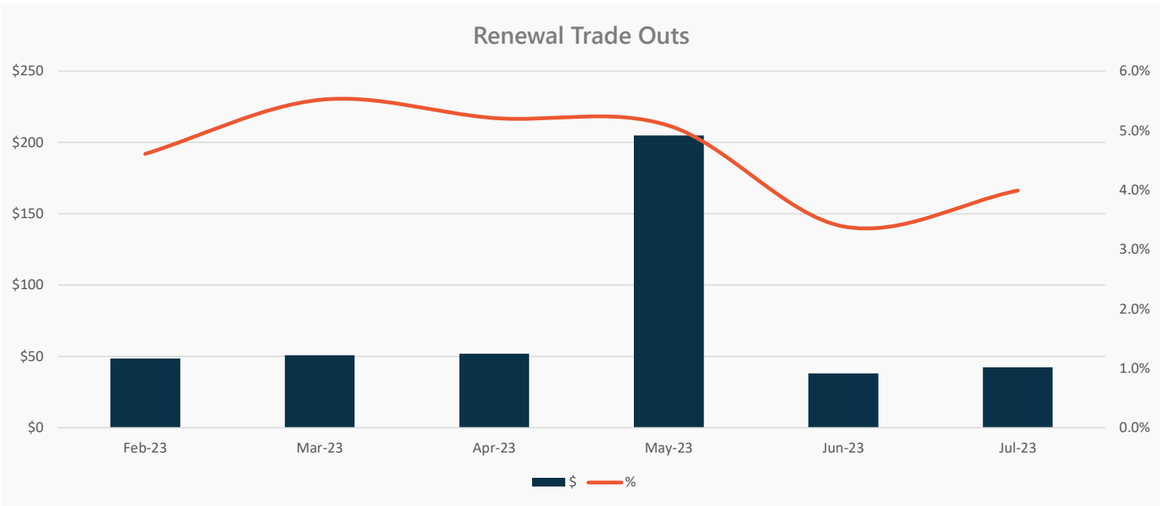
- Insurance miss is currently overshadowing GPR excesses, but by a very overcomable margin.
- High property occupancy trend and coming renovations will both help grow NOI in the coming months, as well as new other income prrogams (cable, covered parking, etc..)
- Lease tradeouts remain very healthy with 29 leases expiring in the next 3 months.

Rents Report

Avg Rent			Avg Rent PSF			Tradeouts - C			Tradeouts - R			Retention - C			Retention - R			Market		
T-1	T-2	T-3	T-1	T-2	T-3	T-1	T-2	T-3	T-1	T-2	T-3	T-1	T-2	T-3	T-1	T-2	T-3	All	Classic	Reno
$1,083	$1,080	$1,081	$1.12	$1.12	$1.12	0.0%	3.4%	0.0%	0.0%	0.0%	0.0%	0%	0%	0%	0%	0%	0%	$1,072	$1,072	$1,066







Comments:

- Only one unit has been renovated and leased as of this current rent roll, but achieved a $100 premium over the average rate of classic 3x2 units and leased quickly.

Comments:

- Renewal leases and new lease trade outs continue to drive revenue at the property, and significant progress is being made on pushing classic unit rents to market levels with little resistance from tenants.
- Unit P5 corrected to a lease rent of $1,029 - this was initially polling at $2,009 in the monthly RR for some nuanced reason, confirmed the new figure with multiple data points in Entrata.

Occupancy Report

Current Occupancy

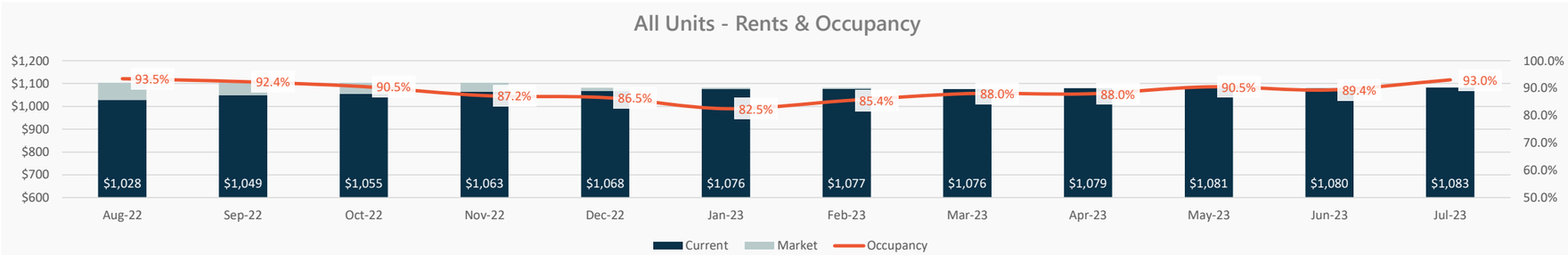
93.0%

Trailing Occupancy

T-3 Avg	90.9%
T-6 Avg	89.0%
T-12 Avg	88.9%

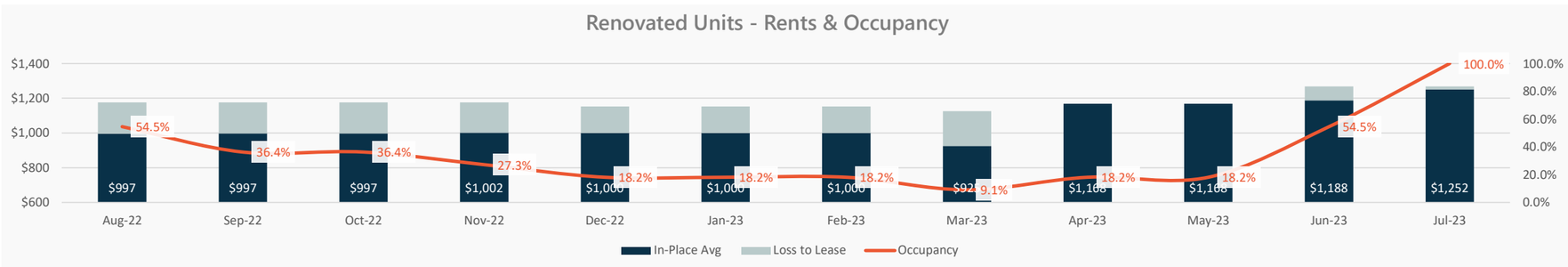
Occupancy Trend

	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Avg
All Units	93.5%	92.4%	90.5%	87.2%	86.5%	82.5%	85.4%	88.0%	88.0%	90.5%	89.4%	93.0%	88.9%
Renovated	54.5%	36.4%	36.4%	27.3%	18.2%	18.2%	18.2%	9.1%	18.2%	18.2%	54.5%	100.0%	34.1%
Classic	95.0%	94.6%	92.7%	89.6%	89.2%	85.0%	88.0%	91.1%	90.8%	93.5%	90.8%	92.7%	91.1%
Economic	70.8%	67.4%	69.7%	50.6%	53.7%	68.6%	62.9%	66.5%	59.0%	50.1%	62.8%	62.8%	62.1%



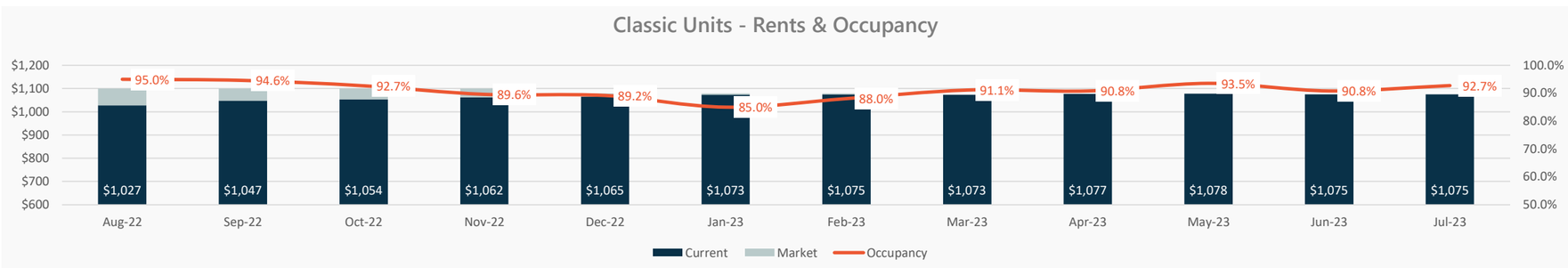
Comments:

- Overall property occupancy made major strides forward over the last few month, with high leasing volume and interest from prospective tenants. This occupancy was also achieved without forgoing strong market rate leases and with minimal concessions.
- 1x1 (Prior Reno) units remain a minor challenge to get leases on, exploring offering as a loss leader, programs for furnished STR's with military/local nurse groups, etc.. to drive occupancy there.



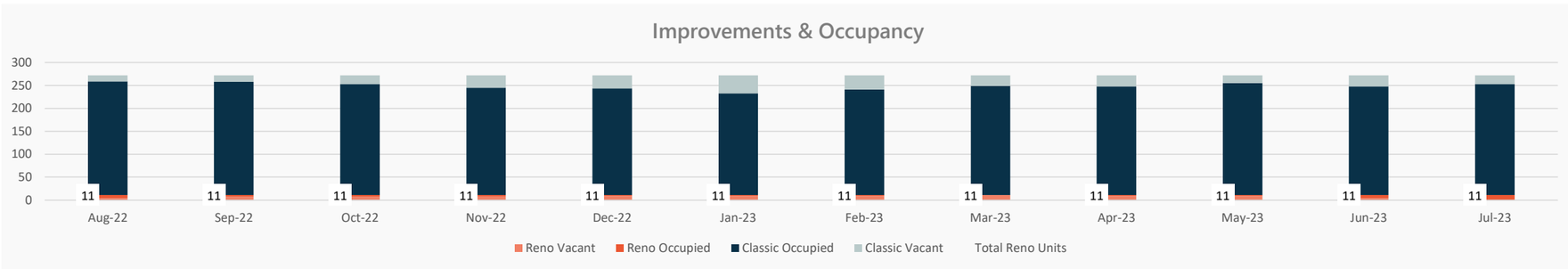
Comments:

- The one units that has received renovations at the property is a 3x2 unit, and is only marginally off from original proforma renovated rent expectations, but leased very quickly showing high demand.
- Should be another renovated unit next month on the RR.



Comments:

- Classic occupancy has recently set a new high since acquisition of the property.
- "Classic" units continue to be in fairly high demand, particularly in the 1x1 sizes, but 2br units now have a waitlist.



Comments:

- While more renovations have been planned, at this time only one unit has had renovations completed - will be another unit next month

Operations Report

Prospect to Lease Conversion		
T-1	T-3	T-12
6.4%	6.1%	8.0%

Tour to Lease Conversion		
T-1	T-3	T-12
22.7%	25.0%	32.8%

App to Lease Conversion		
T-1	T-3	T-12
50.0%	42.9%	52.8%

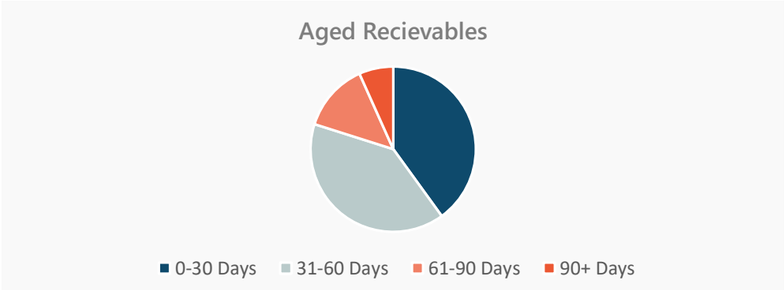
T-1 Work Orders		
Total	Open	Closed
67	54	10

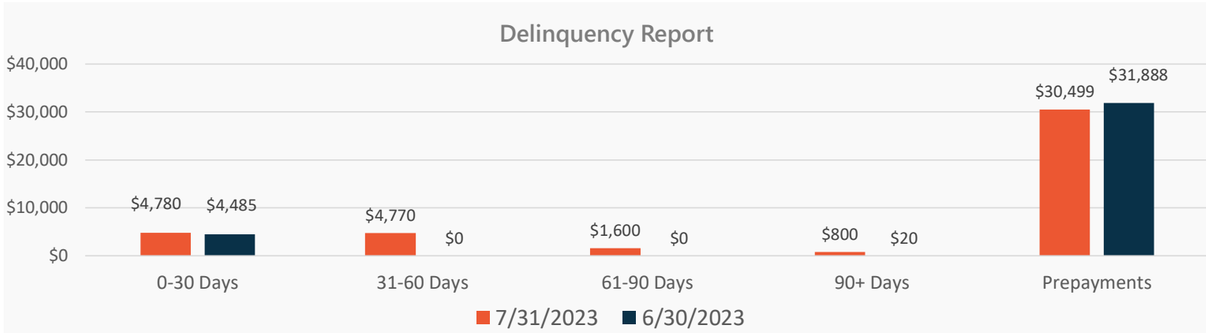
Work Orders Avg Days Open
31.51

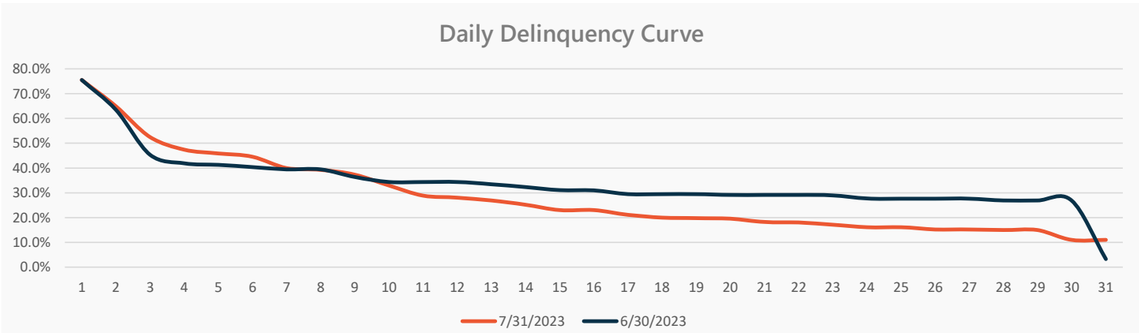
Renovation Deliveries
0

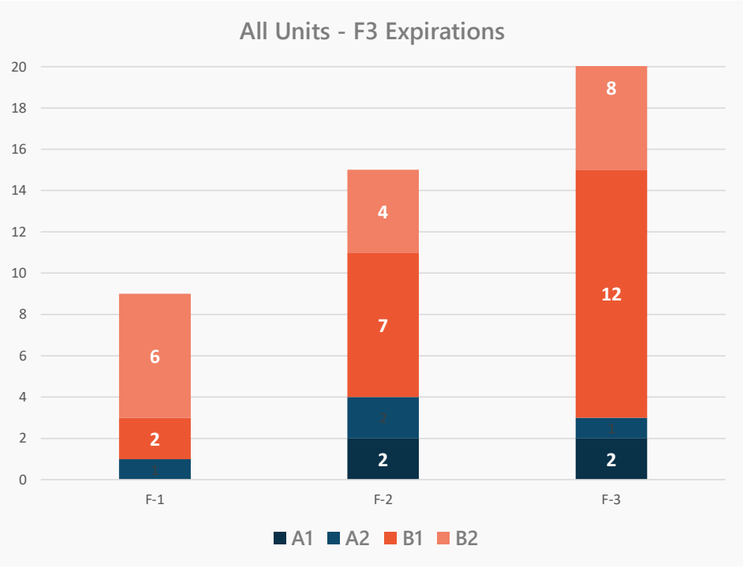
Avg Days Vacant
15.8

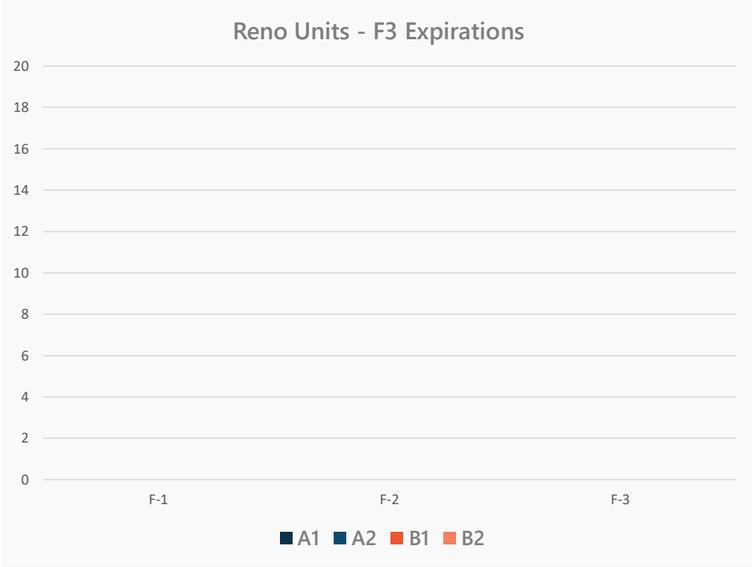
Net T-3 Move-ins
51

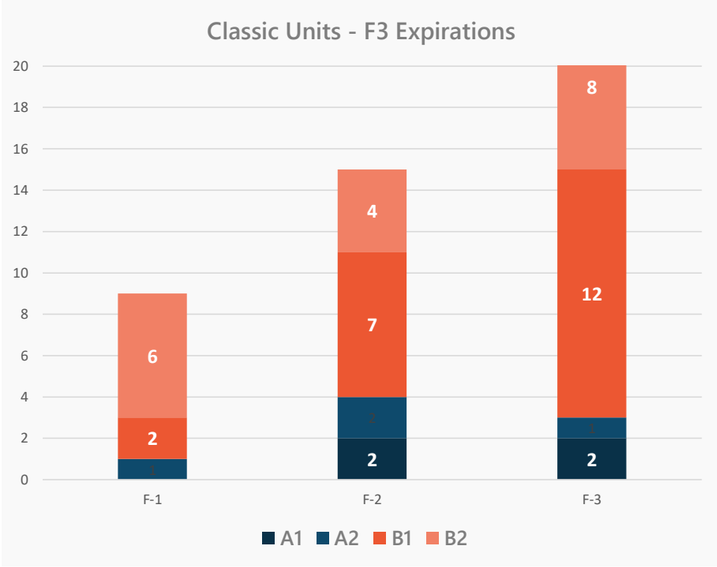




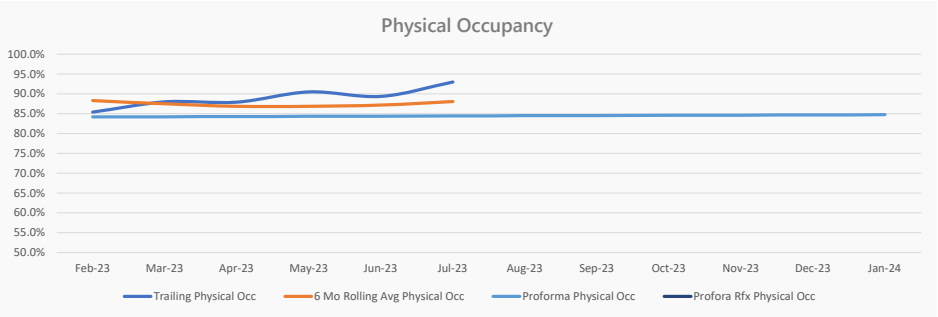


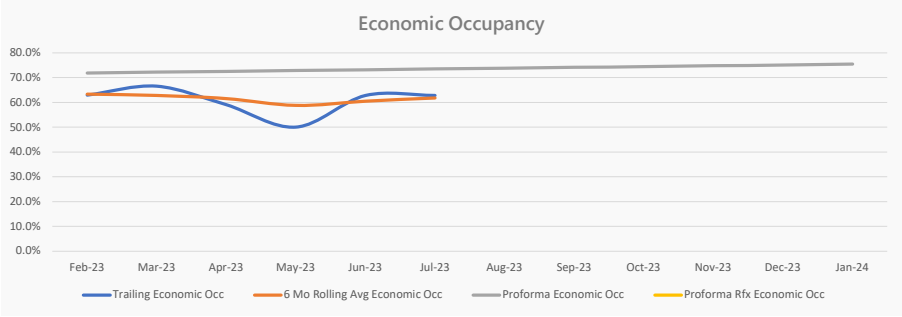


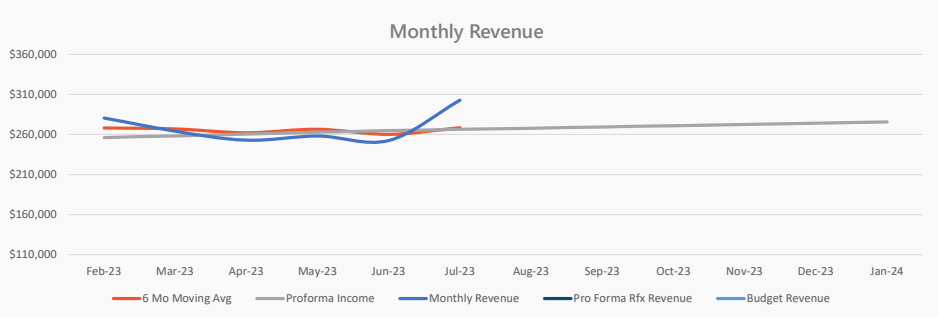


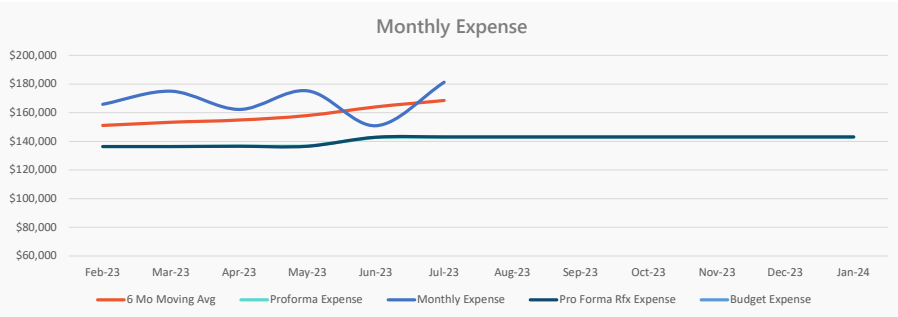


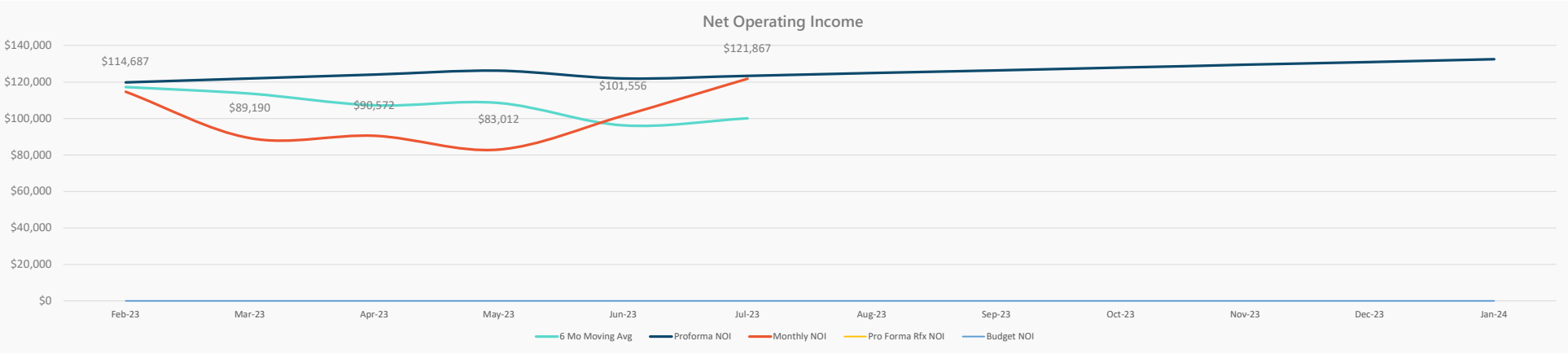
Forward Look Report









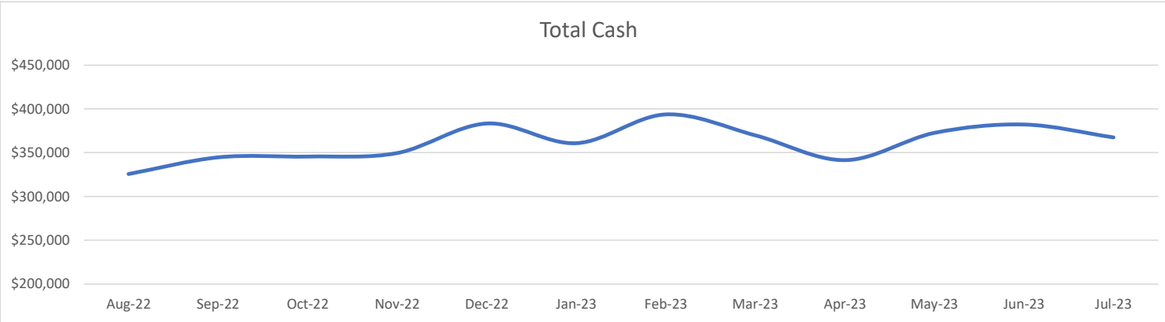


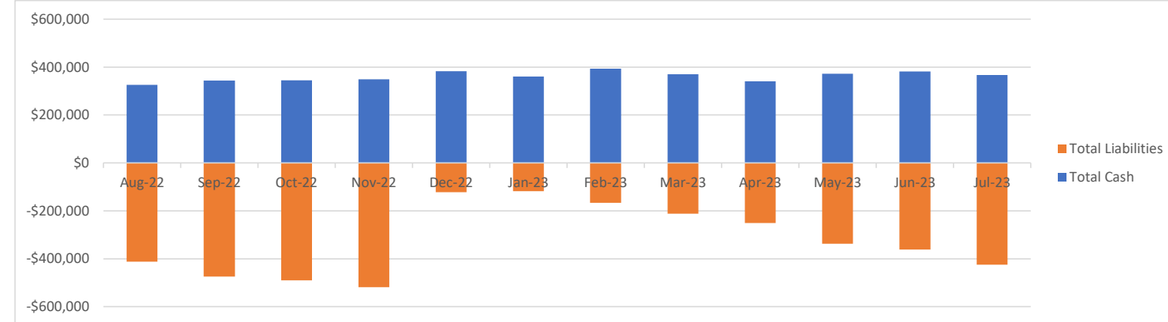
Flats at Walton | 123 Main St

	T-12 8/31/2022	T-11 9/30/2022	T-10 10/31/2022	T-9 11/30/2022	T-8 12/31/2022	T-7 1/31/2023	T-6 2/28/2023	T-5 3/31/2023	T-4 4/30/2023	T-3 5/31/2023	T-2 6/30/2023	T-1 7/31/2023	T12/12		T6/12		T3/12		Proforma	Variance $	Variance %
													12		6		3		12		
Rental Income																					
Gross Market Rents	299,760	299,744	299,757	293,878	294,325	294,325	289,925	289,925	289,925	291,485	291,485	349,782	3,584,316		3,605,054		3,731,008		3,496,151	88,166	103%
Loss to Lease	(22,719)	(18,701)	(14,008)	(11,050)	(6,605)	(4,487)	2,707	495	1,458	324	(240)	(288)	(73,115)	(2.0%)	8,912	0.2%	(818)	(0.0%)	(185,025)	111,911	40%
Gross Potential Rent	277,041	281,043	285,749	282,828	287,720	289,838	292,632	290,420	291,383	291,809	291,245	349,494	3,511,201		3,613,966		3,730,190		3,311,125	200,076	106%
Vacancy	(26,295)	(31,169)	(31,747)	(42,187)	(56,600)	(60,621)	(54,220)	(51,658)	(46,082)	(49,625)	(50,566)	(60,679)	(561,450)	(15.7%)	(625,660)	(17.5%)	(643,482)	(17.2%)	(524,423)	(37,027)	107%
Non-Revenue Units	-	-	-	-	-	(1,080)	(1,080)	-	-	(1,080)	(1,080)	(1,296)	(5,616)	(0.2%)	(9,072)	(0.3%)	(13,824)	(0.4%)	(34,962)	29,346	16%
Gross Scheduled Rent	250,746	249,874	254,002	240,641	231,120	228,137	237,333	238,762	245,301	241,104	239,599	287,519	2,944,136		2,979,233		3,072,884		2,751,741	192,395	107%
Concessions	(1,442)	(1,327)	(2,600)	(3,026)	(3,043)	(4,340)	(9,560)	(9,940)	(8,031)	(11,700)	(6,956)	(8,347)	(70,313)	(2.0%)	(109,069)	(3.0%)	(108,013)	(2.9%)	(69,923)	(390)	101%
Bad Debt	(37,213)	(46,518)	(42,442)	(89,022)	(70,051)	(21,962)	(45,355)	(36,068)	(66,185)	(83,464)	(49,660)	(59,591)	(647,531)	(18.4%)	(647,531)	(17.9%)	(647,531)	(17.4%)	(174,808)	(472,723)	370%
Net Rental Income	212,092	202,028	208,959	148,593	158,026	201,835	182,418	192,753	171,085	145,940	182,983	219,580	2,226,292		2,222,634		2,317,341		2,507,010	(280,719)	89%
Other Income																					
Utility Revenue	16,546	17,656	16,419	18,635	62,183	5,825	22,468	24,788	6,411	15,148	14,021	16,825	236,925	73 pu	236,925		236,925		278,568	(41,643)	85%
Other Income 1	4,862	5,162	5,007	5,335	4,759	5,089	4,737	4,613	4,075	5,172	4,823	5,787	59,419	18 pu	59,419		59,419		11,046	48,373	538%
Other Income 2	2,405	4,522	5,733	6,116	6,426	6,318	7,356	8,570	9,705	10,253	10,755	12,906	91,066	28 pu	91,066		91,066		38,219	52,847	238%
Other Income 3	690	704	670	649	586	444	615	771	786	836	945	1,134	8,831	3 pu	8,831		8,831		158,965	(150,135)	6%
Other Income 4	1,215	761	1,252	1,334	1,190	1,347	5,266	1,045	1,480	1,444	568	681	17,583	5 pu	17,583		17,583		-	17,583	-
Misc Income	33,497	40,707	44,175	50,704	57,102	32,614	57,737	31,576	59,347	79,439	38,412	46,094	571,405	175 pu	571,405		571,405		91,702	479,702	623%
Total Other Income	59,216	69,511	73,256	82,773	132,245	51,638	98,179	71,362	81,803	112,292	69,523	83,428	985,228	302 pu	985,228		985,228		578,501	406,727	170%
Effective Gross Income	271,308	271,540	282,215	231,366	290,271	253,473	280,597	264,115	252,889	258,232	252,507	303,008	3,211,520		3,207,861		3,302,568		3,085,511	126,009	104%
Expenses																					
Payroll	36,081	41,804	38,084	30,447	19,549	28,356	30,963	33,020	30,354	38,231	30,292	36,351	393,532	1447 pu	393,532		393,532		325,406	68,126	121%
Advertising	3,184	3,645	1,542	3,924	3,189	4,939	4,454	4,695	6,189	3,514	3,991	4,789	48,056	177 pu	48,056		48,056		28,296	19,760	170%
Administrative	12,501	6,262	3,023	4,354	3,484	3,426	3,658	6,108	5,843	9,570	4,801	5,761	68,791	253 pu	68,791		68,791		56,592	12,198	122%
Contract Services	5,133	4,711	4,951	5,347	4,294	15,088	11,488	9,712	10,770	4,373	4,715	5,657	86,240	317 pu	86,240		86,240		99,037	(12,797)	87%
Repairs & Maintenance	12,683	10,373	9,254	8,510	4,789	3,447	5,854	9,213	4,859	12,564	5,045	6,053	92,644	341 pu	92,644		92,644		141,481	(48,837)	65%
Turnover	5,358	5,579	2,478	5,711	3,646	8,395	8,195	6,254	6,891	8,987	8,851	10,621	80,966	298 pu	80,966		80,966		-	80,966	-
Water & Sewer	16,245	9,055	13,933	13,075	14,568	13,286	11,764	12,747	13,000	11,746	13,387	16,064	158,871	584 pu	158,871		158,871		161,186	(2,315)	99%
Electric	2,584	3,163	5,157	6,297	(2,405)	2,979	2,489	11,051	2,474	3,367	4,502	5,402	47,060	173 pu	47,060		47,060		45,423	1,637	104%
Gas	5,451	4,177	4,011	5,378	4,402	3,022	2,767	(2,296)	2,059	2,242	2,580	3,096	36,890	136 pu	36,890		36,890		27,735	9,155	133%
Trash	1,328	1,371	-	1,329	1,329	1,329	4,113	2,366	3,321	1,716	7,328	8,794	34,325	126 pu	34,325		34,325		-	34,325	-
Other Utilities	-	-	-	-	-	-	-	5,399	1,024	2,040	1,058	1,270	10,791	40 pu	10,791		10,791		-	10,791	-
Property Management Fee	4,788	4,654	4,849	3,491	8,708	3,159	12,797	7,989	7,587	8,202	5,627	6,752	78,601	289 pu	78,601		78,601		62,760	15,842	125%
Property Taxes	44,532	44,532	44,532	44,532	22,726	44,532	44,532	44,532	34,558	44,532	34,640	41,568	489,748	1801 pu	489,748		489,748		500,293	(10,545)	98%
Insurance	16,160	16,160	16,160	18,274	20,289	16,160	16,160	16,160	16,160	16,160	16,160	19,392	203,395	748 pu	203,395		203,395		141,065	62,331	144%
Other Expense 1	1,299	2,599	2,599	2,599	3,898	3,898	3,898	5,198	5,198	5,198	5,198	6,238	47,821	176 pu	47,821		47,821		9,363	38,458	511%
Other Expense 2	2,777	2,777	2,777	2,777	2,777	2,777	2,777	2,777	2,777	2,777	2,777	3,332	33,874	125 pu	33,874		33,874		64,798	(30,924)	52%
Total Expenses	170,103	160,863	153,348	156,045	115,243	154,793	165,910	174,925	162,317	175,220	150,951	181,141	1,920,858	7062 pu	1,920,858		1,920,858		1,663,434	257,424	115%
Expense Ratio (% EGI)	*62.7%*	*59.2%*	*54.3%*	*67.4%*	*39.7%*	*61.1%*	*59.1%*	*66.2%*	*64.2%*	*67.9%*	*59.8%*	*59.8%*									
Nominal NOI	101,205	110,677	128,867	75,321	175,028	98,680	114,687	89,190	90,572	83,012	101,556	121,867	1,290,661		1,287,003		1,381,710		1,422,077	(131,415)	91%
NOI Margin, before Reserves	*37.3%*	*40.8%*	*45.7%*	*32.6%*	*60.3%*	*38.9%*	*40.9%*	*33.8%*	*35.8%*	*32.1%*	*40.2%*	*40.2%*	*40.2%*		*40.1%*		*41.8%*				
OAR (cost), before Reserves																					
Replacement Reserves	-	-	-	-	-	-	-	-	-	-	-	-	-		-		-		-	-	-
Economic NOI	101,205	110,677	128,867	75,321	175,028	98,680	114,687	89,190	90,572	83,012	101,556	121,867	1,290,661		1,287,003		1,381,710		1,422,077	(131,415)	91%
NOI Margin, after Reserves	*37%*	*41%*	*46%*	*33%*	*60%*	*39%*	*41%*	*34%*	*36%*	*32%*	*40%*	*40%*	*40%*		*40%*		*42%*		*46%*		
OAR (cost), before Reserves																					
Debt Yield	*6.0%*	*6.6%*	*7.6%*	*4.5%*	*10.4%*	*5.8%*	*6.8%*	*5.3%*	*5.4%*	*4.9%*	*6.0%*	*7.2%*	*6.4%*		*6.4%*		*6.8%*		*7.0%*		
DSCR	*1.57x*	*1.69x*	*2.06x*	*1.02x*	*2.43x*	*1.52x*	*1.59x*	*1.28x*	*1.25x*	*0.54x*	*0.84x*	*0.84x*	*1.24x*		*1.24x*		*1.33x*		*-1.87x*		
Principal	-	-	-	-	-	-	-	-	-	-	-	-	-		-		-		-	-	-
Interest	64,401	65,316	62,628	73,713	72,078	64,956	71,967	69,583	72,473	155,049	121,336	145,603	1,039,102		1,039,102		1,039,102		(759,375)	1,798,477	-137%
Total Debt Service	64,401	65,316	62,628	73,713	72,078	64,956	71,967	69,583	72,473	155,049	121,336	145,603	1,039,102		1,039,102		1,039,102		(759,375)	1,798,477	-137%
Cash Flow After Debt Service	36,804	45,362	66,239	1,608	102,950	33,724	42,720	19,607	18,099	(72,037)	(19,780)	(23,736)	251,559		247,901		342,607		2,181,452	(1,929,893)	12%
AM Fees	4,788	4,654	4,849	3,491	-	-	-	-	-	31,798	5,165	6,198	60,941		60,941		60,941		(62,760)	123,701	-97%
Owner Costs	950	5,674	1,319	3,594	(9,155)	3,686	11,875	3,242	-	15,345	1,615	1,938	40,082		40,082		40,082		-	40,082	-
Total Partnership Costs	5,738	10,328	6,167	7,085	(9,155)	3,686	11,875	3,242	-	47,143	6,780	8,136	101,023		101,023		101,023		(62,760)	163,783	-161%
Net Cash Flow	31,066	35,034	60,072	(5,477)	112,105	30,038	30,846	16,365	18,099	(119,180)	(26,560)	(31,872)	150,536		146,878		241,585		2,244,212	(2,093,676)	7%
Cash-on-Cash	*4.2%*	*4.7%*	*8.1%*	*-0.7%*	*15.1%*	*4.1%*	*4.2%*	*2.2%*	*2.4%*	*-16.1%*	*-3.6%*	*-4.3%*	*1.7%*		*1.7%*		*2.7%*		*25.2%*		

Owners Report

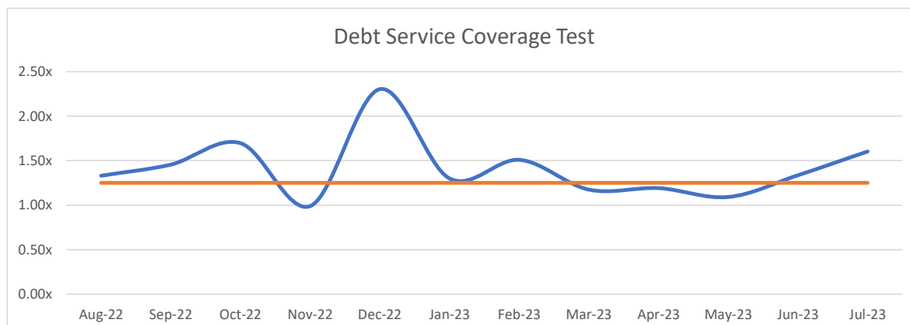
Cash Balances	Current Liabilities	Current Ratio	Working Capital	T-3 Free Cash Flow	T-1 DSCR	T-3/T-12 DY
$367,345	$424,445	0.87x	$138,657	-$177,611	0.84x	1.28x

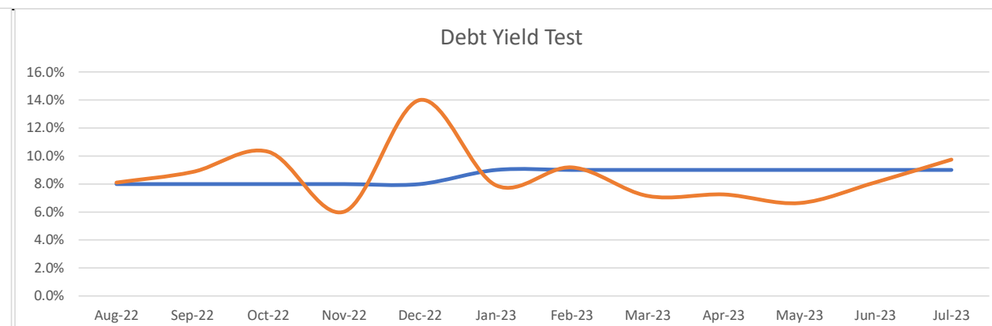




Loan Details

Initial Loan Balance	$13,750,000
Holdbacks	$1,250,000
Total Max Loan Balance	$15,000,000
Total Current Balance	$14,769,850
Balance Remaining	$230,150
LTV at Close	70.0%
LTC at Close	68.8%
Initital Term	3 Years
Extension Date	6/30/2025
Extension Test	1.25x DSCR/9% DY
Current Result	Projected Pass





Free Cash Flow	**T-12**	**T-11**	**T-10**	**T-9**	**T-8**	**T-7**	**T-6**	**T-5**	**T-6**	**T-3**	**T-2**	**T-1**
	Aug-22	**Sep-22**	**Oct-22**	**Nov-22**	**Dec-22**	**Jan-23**	**Feb-23**	**Mar-23**	**Apr-23**	**May-23**	**Jun-23**	**Jul-23**
Income	271,308	271,540	282,215	231,366	290,271	253,473	280,597	264,115	252,889	258,232	252,507	303,008
Expenses	(170,103)	(160,863)	(153,348)	(156,045)	(115,243)	(154,793)	(165,910)	(174,925)	(162,317)	(175,220)	(150,951)	(181,141)
Net Operating Income	**101,205**	**110,677**	**128,867**	**75,321**	**175,028**	**98,680**	**114,687**	**89,190**	**90,572**	**83,012**	**101,556**	**121,867**
Asset Management Fees	4,788	4,654	4,849	3,491	-	-	-	-	-	31,798	5,165	6,198
Other Owner Costs	950	5,674	1,319	3,594	(9,155)	3,686	11,875	3,242	-	15,345	1,615	1,938
Total Other Expenses	**5,738**	**10,328**	**6,167**	**7,085**	**(9,155)**	**3,686**	**11,875**	**3,242**	**-**	**47,143**	**6,780**	**8,136**
Interest Payment	64,401	65,316	62,628	73,713	72,078	64,956	71,967	69,583	72,473	155,049	121,336	145,603
Principal Payment	-	-	-	-	-	-	-	-	-	-	-	-
Total Debt Service	**64,401**	**65,316**	**62,628**	**73,713**	**72,078**	**64,956**	**71,967**	**69,583**	**72,473**	**155,049**	**121,336**	**145,603**
Capex	-	-	-	-	-	-	-	-	-	-	-	-
Replacement Reserves	-	-	-	-	-	-	-	-	-	-	-	-
Total Free Cash Flow	**31,066**	**35,034**	**60,072**	**(5,477)**	**112,105**	**30,038**	**30,846**	**16,365**	**18,099**	**(119,180)**	**(26,560)**	**(31,872)**